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Unit 13

FINAL ACCOUNTS OF SOLE PROPRIETORS-II

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Points to recall

The following points are to be recalled before learning final accounts of sole proprietors-II

- Final accounts
- Revenue recognition principle
- Matching principle
- Accrual principle
- Periodicity principle

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Learning Objectives

To enable the students to

- Understand the accounting treatment for adjustments
- Pass adjusting entries
- Prepare final accounts when adjustments are given

Key terms to know

Adjustment entries

Outstanding expenses

Prepaid expenses

Accrued income

Income received in advance

Bad debts

Provision for bad and doubtful debts

Provision for discount on debtors